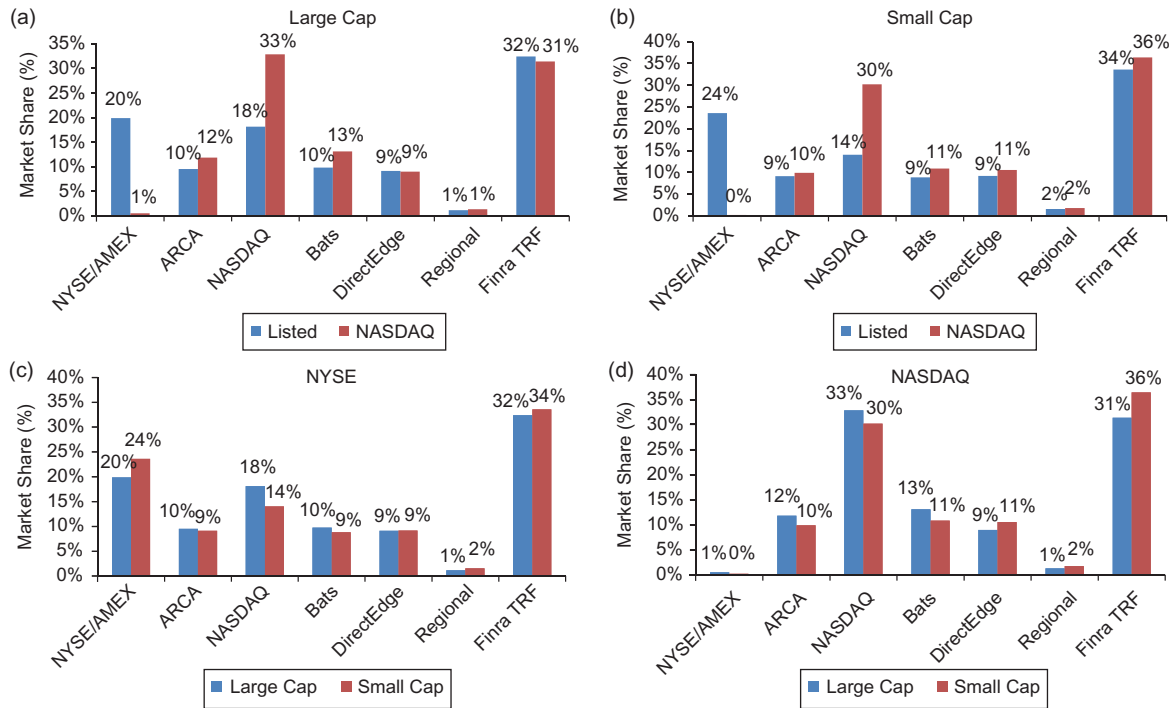




■ Figure 2.2 Percentage of Share Volume.

high return potential, thus making them attractive to those seeking higher returns. Since NASDAQ stocks are traded more via market makers there is some double counting in the names. Additionally, the NASDAQ technology and internet stocks are becoming a favorite of retail investors, since they are known names and it is sexier to trade technology and internet stocks than, say, utilities. NYSE small cap stocks are believed to trade more volume than NASDAQ small cap stocks because these are the more established companies with a history of earnings and company specific fundamentals. Furthermore, NYSE small cap stocks are usually larger than NASDAQ small cap stocks. Finally, the designated market maker model has lower spreads that result in lower trading costs and hence make NYSE small cap stocks a more attractive investment opportunity than NASDAQ small cap stocks. Another interesting daily volume property is that the median daily volume is much lower than the average daily volume measure. The ratio of median volume to average volume is $\text{NYSE-LC} = 0.48$, $\text{NASDAQ-LC} = 0.38$, $\text{NYSE-SC} = 0.40$, and $\text{NASDAQ-SC} = 0.37$. This is an indication that NYSE stocks have much more stable day-to-day patterns than